

U.S. DEPARTMENT OF AGRICULTURE
WASHINGTON, D.C. 20250

DEPARTMENTAL REGULATION	NUMBER: DR 2255-001
SUBJECT: Indirect Cost Rates Applicable to USDA Federal Awards	DATE: April 28, 2022
OPI: Office of the Chief Financial Officer (OCFO)	EXPIRATION DATE: April 28, 2027

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1. PURPOSE

This Departmental Regulation (DR) establishes the United States Department of Agriculture's (USDA) indirect cost guidance for Mission Areas, agencies, and staff offices.

2. SPECIAL INSTRUCTIONS/CANCELLATIONS

- a. This DR supersedes DR 2255-001, *Indirect Cost Rates Applicable to USDA Federal Awards*, dated August 5, 2016.
- b. This DR is effective as of the publication date and will remain in effect until superseded or expiration.
- c. In case of any discrepancy with the guidance in this document, Title 2 of the Code of the Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* ([2 CFR Part 200](#)) will govern.

3. SCOPE

- a. This DR applies to Mission Areas, agencies, and staff offices responsible for managing Federal financial assistance awards.
- b. This DR explains the requirements for acceptance of a Negotiated Indirect Cost Rate Agreement (NICRA) and a de minimis rate of 10% of modified total direct costs (MTDC) from the following recipients:
 - (1) Non-Federal entities (NFE);
 - (2) For-Profit organizations; and
 - (3) Foreign Public Entities or Foreign organizations, except where the Federal awarding agency or staff office determines that the application of 2 CFR Part 200 would be inconsistent with the international obligations of the United States or the statute or regulations of a foreign government. The statutes or regulations of a foreign government or immunities granted under international law overrule 2 CFR Part 200.
- c. This DR provides servicing options for Mission Areas, agencies, and staff offices that manage indirect cost rate negotiations when they are the Federal cognizant agency for indirect costs:
 - (1) External issuance;
 - (2) Internal USDA issuance; or
 - (3) Agency self-issuance.

4. BACKGROUND

- a. On August 13, 2020, 2 CFR Part 200 was revised. The revisions streamlined indirect cost regulations in [2 CFR § 200.414](#), *Indirect (F&A) costs*. This DR complies with 2 CFR Part 200 and is revised to reflect these changes.
- b. On December 19, 2014, USDA adopted 2 CFR Part 200 along with an agency specific addendum in [2 CFR Part 400](#), *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*.
- c. Indirect costs are costs incurred by the recipient for a common or joint purpose that benefits more than one cost objective. Indirect costs are not readily assigned to specific

cost objectives as a direct cost. 2 CFR Part 200 requires a recipient must have a current (NICRA) or a de minimis rate of 10% of MTDC for indirect costs to be allowable.

- d. Grant programs designated by Federal statute or regulation can have an indirect cost limitation. The indirect cost limitation limits the reimbursement of indirect costs. The allowable indirect cost reimbursement is typically the lesser of:
 - (1) The current NICRA or the de minimis rate of 10% of MTDC; or
 - (2) The statutory limitation. Mission Areas, agencies, and staff offices must ensure recipients follow any indirect cost limitation identified in the Federal statute or regulation. Recipients must comply with any indirect cost limitation identified in the award.
- e. Since 1981, Department of Agriculture Appropriation bills have instituted a limit on indirect costs for cooperative agreements with nonprofit institutions. For purposes of this limitation, the indirect cost limitation applies to cooperative agreements with Institutions of Higher Education (IHE) and other nonprofit organizations as defined in 2 CFR Part 200. Currently, recipients may charge the lesser of their:
 - (1) Current NICRA or de minimis rate of 10% of MTDC; or
 - (2) 10% of the total direct costs (TDC). Note: Before applying this limitation, ensure the current Agriculture Appropriation bill contains this indirect cost limitation. (Refer to Appendix D, *Indirect Cost Limitation*.)
- f. Recipients that choose to apply indirect costs in their award must have a NICRA, unless the recipient elects to use the *de minimis* indirect cost rate, as authorized in [2 CFR Part 200.414\(f\)](#). A NICRA ensures they are compensated for costs incurred for allowable, allocable, and reasonable facilities and administrative costs that benefit USDA's awards. For example, functions necessary for the general operations of the organization, such as space costs, utilities, accounting services, human resource services, etc.
- g. The recipient is responsible for negotiating the rate agreement with the cognizant Federal agency. The cognizant Federal agency is the agency that typically provides the most direct funding to the recipient. The cognizant Federal agency will negotiate an indirect cost rate agreement on behalf of all Federal agencies. The recipient must provide the NICRA to all grant programs.
- h. Recipients of awards that receive funding from USDA Mission Areas, agencies, and staff offices that finance specific physical assets rather than financing entire programs or operations will follow USDA Mission Area, agency, or staff office specific requirements.

5. POLICY

- a. USDA Federal financial assistance awards provide for compensation of actual, allowable program or project costs incurred. If indirect costs are allowable under an award, it is the applicant's discretion to request indirect costs in their application.
- b. The USDA awarding agency or staff office must be satisfied that the recipient's accounting system, using *Generally Accepted Accounting Principles* ([GAAP](#)), can adequately identify and support all costs as direct costs to the program or project when recipients do not charge indirect costs in their award. This includes the recipient's ability to, using GAAP standards, identify and segregate costs based on a process that assigns costs consistent with the benefits provided to individual projects or programs. For foreign entities, the USDA awarding agency or staff office must be satisfied that their financial statements and account records comply with the financial regulations, rules, policies, and procedures of the foreign entity and internationally accepted accounting standards.
- c. Recipients can draw down indirect costs if they have one of the following current approved negotiated indirect cost rates in place at the time of award:
 - (1) Final;
 - (2) Fixed;
 - (3) Predetermined;
 - (4) Provisional; or
 - (5) De minimis rate of 10% of MTDC.
- d. The Federal awarding agency must accept the NICRA. The Federal awarding agency may use a rate different from the negotiated rate for a class of Federal awards or a single Federal award only when required by Federal statute or regulation, or when approved by a Federal awarding agency head or delegate based on documented justification as described in Section 5f. (See [2 CFR § 200.414\(c\)\(1\)](#).)
- e. Mission Areas, agencies, and staff offices must ensure the agency head or delegate notifies the Office of Management and Budget (OMB) of any approved deviation from the acceptance of the negotiated indirect cost rate for a class of Federal awards or a single award. (See [2 CFR § 200.414\(c\)\(2\)](#).) At USDA, the awarding agency or staff office head or delegate must notify OMB when using a rate different from the negotiated indirect cost rate for a class of Federal awards or a single award unless required by Federal statute or regulation. The USDA awarding agency or staff office will prepare a written justification signed by the agency head or delegate to the appropriate OMB official. (Refer to Section 6b(2)(k)).

- f. Mission Areas, agencies, and staff offices must make publicly available the policies, procedures, and general decision-making criteria their programs will follow to seek and justify deviations from negotiated indirect cost rates. (See [2 CFR § 200.414\(c\)\(3\)](#).)
- g. Mission Areas, agencies, and staff offices must include in the notice of funding opportunity policies relating to indirect cost rate reimbursement, if there are any limits on indirect costs, cost sharing or matching applicable to the opportunity. For example, whether the statutory limitation applies or whether unrecovered indirect costs may be counted toward matching requirements. (See [2 CFR § 200.204](#), *Notices of funding opportunities*, [2 CFR § 200.306](#), *Cost sharing or matching*, [2 CFR § 200.414\(c\)\(4\)](#), and [Appendix I to 2 CFR Part 200 – Full Text of Notice of Funding Opportunity](#).)
- h. Mission Areas, agencies, and staff offices must include in all awards the indirect cost rate and base (including if the de minimis rate is charged or the indirect cost cap determined by Federal statute or regulation). (See [2 CFR § 200.211\(b\)\(15\)](#).)
- i. Mission Areas, agencies, and staff offices should include in the award the program, authority, rate and base applied to the award when indirect costs are limited by Federal statute or regulation.
- j. The cognizant agency for indirect costs is the Federal agency responsible for reviewing, negotiating, and approving cost allocation plans, or indirect cost proposals developed under this part on behalf of all Federal agencies. The cognizant agency for indirect cost is not necessarily the same as the cognizant agency for audit. (See [2 CFR § 200.1](#), *Definitions*.)
- k. For assignments of cognizant Federal agencies refer to the following:
 - (1) IHEs: [Appendix III to 2 CFR Part 200](#)—*Indirect (Facilities and Administrative (F&A) Costs Identification and Assignment, and Rate Determination for IHEs*, (paragraph C.11).
 - (2) Nonprofit organizations: [Appendix IV to 2 CFR Part 200](#)—*Indirect (F&A) Costs Identification and Assignment, and Rate Determination for Nonprofit Organizations*, (paragraph C.2.a).
 - (3) State and local governments: [Appendix V to 2 CFR Part 200](#)—*State/Local Governmentwide Central Service Cost Allocation Plans*, (paragraph F.1).
 - (4) Indian tribes: [Appendix VII to 2 CFR Part 200](#)—*States and Local Government and Indian Tribe Indirect Cost Proposals*, (paragraph D.1).
- l. The USDA awarding agency or staff office may allow a NFE receiving a Federal award, with a current NICRA, to voluntarily choose to waive indirect costs or charge a rate less than the NICRA. (Refer to Section 5p.)

- (1) The NFE should consult with the awarding agency or staff office.
 - (2) The decision must be made solely by the NFE that is eligible for indirect cost rate reimbursement. It must not be encouraged or coerced in any way by the awarding agency or staff office.
 - (3) The USDA awarding agency cannot use a voluntary waiver of all or part of an NFE's indirect cost rate as a factor during the merit review of applications or proposals, unless authorized by statute or regulation and specified in the notice of funding opportunity. (See [2 CFR § 200.306\(a\)](#).)
 - (4) The USDA awarding agency or staff office must clearly include within the award terms and conditions the NFE's decision to waive indirect costs or charge a rate less than the approved NICRA. There is no need to notify OMB nor is there a need for the USDA awarding agency or staff office head or delegate to sign off.
 - (5) The lower indirect cost rate represents the NFE's maximum billing rate under the award.
- m. An NFE without a current NICRA, except for those described in Appendix VII to 2 CFR Part 200 – *State and Local Government and Indian Tribe Indirect Cost Proposals*, (paragraph D.1.b)), may elect to charge a de minimis rate of 10% of MTDC. (See 2 CFR § 200.414(f).)
- (1) De minimis rate of 10% of MTDC may be used indefinitely.
 - (2) No documentation is required to substantiate costs to justify the 10% de minimis indirect cost rate. The requirement to document the actual indirect costs would eliminate the benefits of using the 10% de minimis indirect cost rate.
 - (3) Costs must be consistently charged as either indirect or direct costs. Costs may not be double charged or inconsistently charged as both. This methodology, if chosen, must be used consistently for all Federal awards until the NFE chooses to negotiate for a rate, which they may apply to do at any time.
 - (4) The NFE must report in its Schedule of Expenditures for Federal Awards (SEFA) whether it elected to use the 10% de minimis rate for its Federal awards. (See [2 CFR Part § 200.510](#), *Financial statements*.)
- n. The USDA awarding agency or staff office may allow a NFE that qualifies for a 10% de minimis rate to voluntarily use a lower rate than the 10% de minimis rate.
- (1) The NFE should consult with the awarding agency or staff office.

- (2) The decision must be made solely by the NFE that is eligible for a 10% de minimis rate. It must not be encouraged or coerced in any way by the awarding agency or staff office.
 - (3) The USDA awarding agency or staff office must clearly include within the award terms and conditions the NFE's decision to use a lower rate than the 10% de minimis rate. There is no need to notify OMB nor is there a need for the USDA awarding agency or staff office head or delegate to sign off.
 - (4) The rate lower rate represents the NFE's maximum billing rate under the award.
- o. An NFE with a current federally negotiated indirect cost rate may apply for a one-time extension of the rates in their agreement for a period up to 4 years. This extension will be subject to the review and approval of the cognizant agency for indirect costs. (See [2 CFR § 200.414\(g\)](#).)
 - p. Unrecovered indirect costs, including indirect costs on sharing or matching may be included as part of cost-sharing or matching only with the prior approval of the USDA awarding agency or staff office. (See [2 CFR § 200.306\(c\)](#).)
 - q. At USDA, the cognizant Federal agency for indirect costs is the USDA awarding agency or staff office that provides the largest dollar value of direct Federal awards to the NFE, for-profit organization, foreign public entity, or foreign organization. When a USDA awarding agency or staff office is not the cognizant agency for indirect costs, the recipient must be referred to the cognizant Federal agency for indirect costs.
 - r. The USDA awarding agency or staff office designated as the cognizant agency for indirect costs will:
 - (1) Facilitate indirect cost rate issuance for the entity (Refer to Section 5t); and
 - (2) Provide the negotiated indirect cost rate to the Office of the Chief Financial Officer (OCFO) upon request.
 - s. The federally negotiated indirect rate, distribution base, and rate type for a NFE except for the Indian tribes or tribal organizations, as defined in the *Indian Self Determination, Education and Assistance Act*, [25 United States Code \(U.S.C.\) § 5304 \(1\)](#) must be available publicly on an OMB designated Federal website. (See [2 CFR § 200.414\(h\)](#).)
 - t. USDA awarding agencies designated as the cognizant agency for indirect costs have the following servicing options:
 - (1) External Issuance can be an option by entering into an Interagency Agreement (IAA) with the Department of Health and Human Services (DHHS), Program Support Center, [Financial Management](#) website or the Department of the Interior (DOI), [Indirect Cost Services](#) website to negotiate and establish indirect cost rates

with its grantees. DOI provides indirect cost rate negotiation services for foreign public entities and foreign organizations.

- (2) Internal USDA agency issuance can be an option.
 - (a) Enter an IAA with another USDA agency to negotiate the indirect cost rate on their behalf.
 - (b) Obtain the services of the Forest Service (FS), [*Audit and Assurance Staff*](#) website. Send inquiries to the FS, Branch Chief, Resource Audit Branch.
- (3) Agency self-issuance can be an option when an agency is appropriately staffed with training, accounting, and budget personnel to negotiate the indirect cost rate. The approval of the negotiated indirect cost rate must be signed by the authorized representative of the USDA agency and by the NFE.

6. ROLES AND RESPONSIBILITIES

- a. The Chief Financial Officer (CFO) will:
 - (1) Act as USDA's primary point of contact for coordinating indirect cost rate issues within USDA; and
 - (2) Ensure USDA's requirements for indirect costs align with 2 CFR Part 200.
- b. USDA Agency Administrators and Staff Office Directors will:
 - (1) Serve as the liaison between the USDA agency and CFO. The agency administrator or staff office director may delegate the indirect cost liaison role and notify the CFO of liaison appointments and subsequent replacements.
 - (2) Ensure designated Mission Area, agency, and staff office personnel:
 - (a) Coordinate with recipients at the beginning of award negotiations to determine cognizance and indirect cost rate determination requirements;
 - (b) Maintain procedures for compliance with indirect cost rate considerations and applicable cost principles in the award and administration of the award;
 - (c) Require recipients provide a copy of their current NICRA if requesting indirect costs with their application;
 - (d) If applicable, include in the award terms and conditions the indirect cost;

- (e) If applicable, include in the award terms and conditions the NFE's decision to waive indirect costs or charge less than the NICRA;
- (f) If applicable, include in the award terms and conditions the NFE's decision to apply the 10% de minimis rate or use a lower rate than the 10% de minimis rate;
- (g) If applicable, when indirect costs are limited by Federal statute or regulation, include in the award terms and conditions the program, authority, rate and base applied to the award;
- (h) Ensure recipients comply with the award terms and conditions;
- (i) Provide the CFO a copy of the recipient's negotiated indirect cost rate in the event of an audit or other inquiry;
- (j) Provide the CFO a copy of the recipient's award terms and conditions in the event of an audit or other inquiry;
- (k) Provide the CFO a copy of the written notification signed by the agency head or delegate, to the appropriate OMB official, the request to use a rate different from the negotiated indirect cost rate for a class of Federal awards or a single award. The written justification should explain the program, include whether a deviation related to the program has been granted in the past, and the process for negotiating and or communicating to recipients the indirect cost rate requirements under the program. The program must make its documentation, rate deviations, and other program information publicly available (for example, notice of funding opportunity, agency outreach, agency website);
- (l) Keep on file documentation regarding the number of agency exceptions to the provision of Federal agency acceptance of negotiated indirect cost rates and the number of extensions approved by the Federal cognizant agency for indirect costs;
- (m) Keep on file documentation regarding the number of NFEs voluntarily choosing to waive or charge less than the NICRA on Federal awards and voluntarily electing to use a rate lower than the 10% de minimis rate;
- (n) Will provide information to the CFO as needed; and
- (o) Must make available publicly on an OMB designated Federal website the federally negotiated indirect rate, distribution base, and the rate type for a NFE except Indian tribes or tribal organizations, as defined in the *Indian Self Determination, Education and Assistance Act*, 25 U.S.C. § 5304 (l)).

7. INQUIRIES

Questions and inquiries regarding this DR should be directed to OCFO, Transparency and Accountability Reporting Division (TARD) at FFAC@usda.gov, 202-720-8978.

-END-

APPENDIX A

ACRONYMS AND ABBREVIATIONS

CFO	Chief Financial Officer
CFR	Code of Federal Regulations
DG	Departmental Guidebook
DHHS	Department of Health and Human Services
DOI	Department of the Interior
DR	Departmental Regulation
F&A	Facilities and Administrative
FAR	Federal Acquisition Regulations
FASB	Financial Accounting Standards Board
FGCAA	Federal Grant and Cooperative Agreement Act of 1977
FS	Forest Service
GAAP	Generally Accepted Accounting Principles
GASB	Governmental Accounting Standards Board
GOCO	Government Owned, Contractor Operated
IAA	Interagency Agreement
IHE	Institution of Higher Education
MTDC	Modified Total Direct Cost
NFE	Non-Federal Entity
NICRA	Negotiated Indirect Cost Rate Agreement
OCFO	Office of the Chief Financial Officer
OMB	Office of Management and Budget
PTE	Pass-through Entity
R&D	Research and development
SCSU	Spring City State University
SEFA	Schedule of Expenditures for Federal Awards
SF	Standard Form
SFA	Student Financial Aid
TARD	Transparency and Accountability Reporting Division
TDC	Total Direct Cost
U.S.C.	United States Code
USDA	United States Department of Agriculture

APPENDIX B

DEFINITIONS

- a. Agency. Organizational units of the Department, other than staff offices, whose heads report to officials within the Office of the Secretary, Deputy Secretary, Under Secretaries, Assistant Secretaries, and Assistant to the Secretary. (Source: USDA, [Departmental Guidebook \(DG\) 0100-002](#), *USDA Departmental Directives Definitions Glossary*)
- b. Agency Head. The administrator, chief, or director of an agency who is the official named or designated to have primary responsibility for the management of the agency as delegated under [7 CFR Part 2](#), *Delegations of Authority by the Secretary of Agriculture and General Officers of the Department*. (Source: USDA, DG 0100-002)
- c. Cognizant Agency for Indirect Costs. The Federal agency responsible for reviewing, negotiating, and approving cost allocation plans or indirect cost proposals developed under this part on behalf of all Federal agencies. The cognizant agency for indirect cost is not necessarily the same as the cognizant agency for audit. (Source: 2 CFR § 200.1, *Definitions*)
- d. Cooperative Agreement. A legal instrument that, in accordance with the *Federal Grant and Cooperative Agreement Act of 1977* ([FGCAA](#)), reflects a relationship between a Federal agency and a NFE where the principal purpose of the relationship is to transfer a thing of value to the NFE to carry out a public purpose of support or stimulation authorized by a law of the United States instead of acquiring (by purchase, lease, or barter) property or services for the direct benefit or use of the United States Government and where substantial involvement is expected between the Federal agency and the NFE when carrying out the activity contemplated in the agreement. 2 CFR § 200.1, *Definitions*; [31 U.S.C. § 6305](#), *Using cooperative agreements*.
- e. Cost Sharing or Matching. The portion of project costs not paid by Federal funds or contributions (unless otherwise authorized by Federal statute). See also 2 CFR § 200.306, *Cost sharing or matching*. (Source: 2 CFR § 200.1, *Definitions*)
- f. Department. The United States Department of Agriculture; also referred to as USDA. (Source: USDA, DG 0100-002)
- g. Federal Agency. The Federal agency is the Federal department, agency, commission, council, or instrumentality of the Government, or the primary organizational sub-unit (the administering office) that has direct operational responsibility for managing a program. (Source: USDA, DG 0100-002)
- h. Federal Award. Has the meaning, depending on the context, in either paragraph (1) or (2), of this definition (Source: 2 CFR § 200.1, *Definitions*):

- (1) The Federal financial assistance that a recipient receives directly from a Federal awarding agency or indirectly from a Pass-through Entity (PTE), as described in [2 CFR § 200.101](#), *Applicability*; or the cost-reimbursement contract under the *Federal Acquisition Regulations (FAR)* that a NFE receives directly from a Federal awarding agency or indirectly from a PTE, as described in 2 CFR § 200.101, *Applicability*.
 - (2) The instrument setting forth in the terms and conditions. The instrument is the grant agreement, cooperative agreement, other agreement for assistance covered in paragraph (2) of the definition of Federal financial assistance covered in 2 CFR § 200.1, *Definitions*, or the cost-reimbursement contract awarded under the FAR.
 - (3) Federal award does not include other contracts that a Federal agency uses to buy goods or services from a contractor or a contract to operate Federal Government owned, contractor operated facilities (GOCO).
 - (4) See also definitions of Federal financial assistance, grant agreement, and cooperative agreement.
- i. Federal Awarding Agency. The Federal agency that provides a Federal award directly to a non-Federal entity. (Source: 2 CFR § 200.1, *Definitions*)
 - j. Federal Financial Assistance. (Source: 2 CFR § 200.1, *Definitions*)
 - (1) Assistance that NFEs receive or administer in the form of grants; cooperative agreements; non-cash contributions or donations of property (including donated surplus property); direct appropriations; food commodities; and other financial assistance, except assistance listed in paragraph (2) of this definition.
 - (2) For [2 CFR § 200.203](#), *Requirement to provide public notice of Federal financial assistance programs* and [2 CFR Part 200 Subpart F](#) *Audit Requirements*, Federal financial assistance also includes assistance that NFEs receive or administer in the form of loans, loan guarantees, interest subsidies, and insurance.
 - (3) For [2 CFR § 200.216](#), *Prohibition on certain telecommunications and video surveillance services or equipment*, Federal financial assistance includes assistance that non-Federal entities receive or administer in the form of: grants, cooperative agreements, loans and loan guarantees.
 - (4) Federal financial assistance does not include amounts received as reimbursement for services rendered to individuals as described in [2 CFR § 200.502](#) *Basis for determining Federal awards expended*, paragraph (h), *Medicare* and (i), *Medicaid*.

- k. Federal Program. (Source: 2 CFR § 200.1, Definitions)
- (1) All Federal awards which are assigned a single Assistance Listings Number.
 - (2) When no assistance listings number is assigned, all Federal awards from the same agency made for the same purpose must be combined and considered one program.
 - (3) Notwithstanding paragraphs (1) and (2) of this definition, a cluster of programs. The types of clusters of programs are:
 - (a) Research and development (R&D);
 - (b) Student financial aid (SFA); and
 - (c) Other clusters as described in definition of cluster of programs in 2 CFR § 200.1.
- l. Final Rate. An indirect cost rate applicable to a specified past period which is based on the actual allowable costs of the period. A final audited rate is not subject to adjustment. (Source: Appendix IV to 2 CFR Part 200—*Indirect (F&A) Costs Identification and Assignment, and Rate Determination for Nonprofit Organizations*, (paragraph C.1))
- m. Fixed Rate. An indirect cost rate which has the same characteristics as a predetermined rate, except that the difference between the estimated costs and the actual costs of the period covered by the rate is carried forward as an adjustment to the rate computation of a subsequent period. (Source: Appendix IV to 2 CFR Part 200—*Indirect (F&A) Costs Identification and Assignment, and Rate Determination for Nonprofit Organizations*, (paragraph C.1))
- n. Foreign Organization. (Source: 2 CFR § 200.1, Definitions)
- (1) A public or private organization located in a country other than the United States and its territories that is subject to the laws of the country in which it is located, irrespective of the citizenship of project staff or place of performance;
 - (2) A private nongovernmental organization located in a country other than the United States that solicits and receives cash contributions from the general public;
 - (3) A charitable organization located in a country other than the United States that is nonprofit and tax exempt under the laws of its country of domicile and operation, and is not a university, college, accredited degree-granting institution of education, private foundation, hospital, organization engaged exclusively in research or scientific activities, church, synagogue, mosque or other similar entities organized primarily for religious purposes; or

- (4) An organization located in a country other than the United States not recognized as a Foreign Public Entity.
- o. Foreign Public Entity. (Source: 2 CFR § 200.1, *Definitions*)
 - (1) A foreign government or foreign governmental entity;
 - (2) A public international organization, which is an organization entitled to enjoy privileges, exemptions, and immunities as an international organization under the *International Organizations Immunities Act* ([22 U.S.C. 288-288f](#));
 - (3) An entity owned (in whole or in part) or controlled by a foreign government; or
 - (4) Any other entity consisting wholly or partially of one or more foreign governments or foreign governmental entities.
- p. For-Profit Organization. (Source: [2 CFR 25.425](#), *For-profit organization*)
 - (1) An “S corporation” incorporated under Subchapter S of the Internal Revenue Code;
 - (2) A corporation incorporated under another authority;
 - (3) A partnership;
 - (4) A limited liability corporation or partnership; and
 - (5) A sole partnership.
- q. Generally Accepted Accounting Principles (GAAP). Accounting standards issued by the Governmental Accounting Standards Board (GASB) and the Financial Accounting Standards Board (FASB). (Source: 2 CFR § 200.1, *Definitions*)
- r. Grant Agreement. A legal instrument that, in accordance with the FGCAA, reflects a relationship between a Federal agency and a NFE where the principal purpose of the relationship is to transfer a thing of value to the NFE to carry out a public purpose of support or stimulation authorized by a law of the United States instead of acquiring (by purchase, lease, or barter) property or services for the direct benefit or use of the United States Government and where substantial involvement is not expected between the Federal agency and the NFE when carrying out the activity contemplated in the agreement. (Source: 2 CFR § 200.1, *Definitions*; [31 U.S.C. § 6304](#), *Using grant agreements*)
- s. Indian Tribe. Any Indian tribe, band, nation, or other organized group or community, including any Alaska Native village or regional or village corporation as defined in or established pursuant to the *Alaska Native Claims Settlement Act* ([43 U.S.C. Chapter 33](#)),

which is recognized as eligible for the special programs and services provided by the United States to Indians because of their status as Indians (25 U.S.C. § 5304). See annually published Bureau of Indian Affairs list of [*Indian Tribal Entities Within the Contiguous 48 States Recognized by and Eligible To Receive Services From the United States Bureau of Indian Affairs*](#). (Source: 2 CFR § 200.1, *Definitions*)

- t. Indirect (Facilities & Administrative (F&A)) Costs. Costs incurred for a common or joint purpose benefitting more than one cost objective, and not readily assignable to the cost objectives specifically benefitted, without effort disproportionate to the results achieved. To facilitate equitable distribution of indirect expenses to the cost objectives served, it may be necessary to establish a number of pools of indirect (F&A) costs. Indirect (F&A) cost pools must be distributed to benefitted cost objectives on bases that will produce an equitable result in consideration of relative benefits derived. (Source: 2 CFR § 200.1, *Definitions*)
- u. Indirect Cost Liaison. Single point of contact for Mission Area, agency, or staff office for indirect cost matters.
- v. Institution of Higher Education (IHE). An educational institution in any State that (Source: 2 CFR § 200.1, *Definitions*; [20 U.S.C. § 1001](#), *General definition of institution of higher education*):
 - (1) Admits as regular students only persons having a certificate of graduation from a school providing secondary education, or the recognized equivalent of such a certificate, or persons who meet the requirements of [20 U.S.C. § 1091\(d\)](#);
 - (2) Is legally authorized within such State to provide a program of education beyond secondary education;
 - (3) Provides an educational program for which the institution awards a bachelor's degree or provides not less than a 2-year program that is acceptable for full credit toward such a degree, or awards a degree that is acceptable for admission to a graduate or professional degree program, subject to review and approval by the Secretary of Education;
 - (4) Is a public or other nonprofit institution; and
 - (5) Is accredited by a nationally recognized accrediting agency or association, or if not so accredited, is an institution that has been granted preaccreditation status by such an agency or association that has been recognized by the Secretary of Education for the granting of preaccreditation status, and the Secretary of Education has determined that there is satisfactory assurance that the institution will meet the accreditation standards of such an agency or association within a reasonable time.

- w. Interagency Agreement (IAA). The signed agreement between the Servicing Agency and Requesting Agency that sets out the terms and conditions under which reimbursable work will be performed. (Source: USDA, DG 0100-002)
- x. Mission Area. A group of agencies with related functions that report to the same Under or Assistant Secretary. Research, Education, and Economics (REE) is an example of a Mission Area. (Source: USDA, DG 0100-002)
- y. Modified Total Direct Cost (MTDC). All direct salaries and wages, applicable fringe benefits, materials and supplies, services, travel, and up to the first \$25,000 of each subaward (regardless of the period of performance of the subawards under the award). MTDC excludes equipment, capital expenditures, charges for patient care, rental costs, tuition remission, scholarships and fellowships, participant support costs and the portion of each subaward in excess of \$25,000. Other items may only be excluded when necessary to avoid a serious inequity in the distribution of indirect costs, and with the approval of the cognizant agency for indirect costs. (Source: 2 CFR § 200.1, *Definitions*)
- z. Non-Federal Entity (NFE). A state, local government, Indian tribe, Institution of Higher Education (IHE), or nonprofit organization that carries out a Federal award as a recipient or subrecipient. (Source: 2 CFR § 200.1, *Definitions*)
- aa. Nonprofit organization. A corporation, trust, association, cooperative, or other organizations, not including IHEs; that (Source: 2 CFR § 200.1, *Definitions*):
 - (1) Is operated primarily for scientific, educational, service, charitable, or similar purposes in the public interest;
 - (2) Is not organized primarily for profit; and
 - (3) Uses net proceeds to maintain, improve, or expand the operations of the organization.
- bb. Office of Management and Budget (OMB). The Executive Office of the President, Office of Management and Budget. (Source: 2 CFR § 200.1, *Definitions*)
- cc. Predetermined Rate. An indirect cost rate, applicable to a specified current or future period, usually the organization's fiscal year. The rate based on an estimate of the costs to be incurred during the period. A predetermined rate is not subject to adjustment. (Source: Appendix IV to 2 CFR Part 200—*Indirect (F&A) Costs Identification and Assignment, and Rate Determination for Nonprofit Organizations*, paragraph C.1)
- dd. Provisional Rate. A temporary indirect cost rate applicable to a specified period which is used for funding, interim reimbursement, and reporting indirect costs on Federal awards pending the establishment of a final rate for the period. (Source: Appendix IV

to 2 CFR Part 200—*Indirect (F&A) Costs Identification and Assignment, and Rate Determination for Nonprofit Organizations*, paragraph C.1)

- ee. Recipient. An entity usually but not limited to NFEs, that receives a Federal award directly from a Federal awarding agency. The term recipient does not include subrecipients or individuals that are beneficiaries of the award. (Source: 2 CFR § 200.1, *Definitions*)
- ff. Schedule of Expenditures for Federal Awards. A schedule of expenditures of Federal awards for the period covered by the auditee's financial statements which must include the total Federal awards expended as determined in accordance with 2 CFR § 200.502, *Basis for determining Federal awards expended*. (Source: [2 CFR § 200.510\(b\)\(1\)](#), *Financial statements*)
- gg. Staff Office. Departmental administrative office whose heads report to officials within the Office of the Secretary. (Source: USDA, DG 0100-002)
- hh. Ten Percent De Minimis Rate. Any NFE that does not have a current negotiated (including provisional) rate, except for those non-Federal entities described in Appendix VII to 2 CFR Part 200 – *State and Local Government and Indian Tribe Indirect Cost Proposals*, (paragraph D.1.b), may elect to charge a de minimis rate of 10% of MTDC which may be used indefinitely. No documentation is required to justify the 10% de minimis indirect cost rate. (Source: 2 CFR § 200.414(f), *Indirect (F&A) costs*)
- ii. Unrecovered Indirect Cost. The difference between the amount charged to the Federal award and the amount which could have been charged to the Federal award under the NFE's approved negotiated indirect cost rate. (Source: [2 CFR § 200.306\(c\)](#), *Cost sharing or matching*).

APPENDIX C
AUTHORITIES AND REFERENCES

[2 CFR 25.425](#), *For-profit organization*

[2 Code of Federal Regulations \(CFR\) Part 200](#), *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*

[Appendix I to 2 CFR Part 200](#), *Full Text of Notice of Funding Opportunity*

[Appendix IV to 2 CFR Part 200](#), *Indirect (F&A) Costs Identification and Assignment, and Rate Determination for Nonprofit Organizations*

[Appendix V to 2 CFR Part 200](#), *State/Local Governmentwide Central Service Cost Allocation Plans*

[Appendix VII to 2 CFR Part 200](#), *States and Local Government and Indian Tribe Indirect Cost Proposals*

[2 CFR 200.1](#), *Definitions*

[2 CFR 200.101](#), *Applicability*

[2 CFR 200.203](#), *Requirement to provide public notice of Federal financial assistance programs*

[2 CFR 200.204](#), *Notices of funding opportunities*

[2 CFR 200.211](#), *Information contained in a Federal award*

[2 CFR 200.216](#), *Prohibition on certain telecommunications and video surveillance services or equipment*

[2 CFR 200.306](#), *Cost sharing or matching*

[2 CFR 200.414](#), *Indirect (F&A) costs*

[2 CFR Part 200 Subpart F](#), *Audit Requirements*

[2 CFR 200.502](#), *Basis for determining Federal awards expended*

[2 CFR 200.510](#), *Financial statements*

[2 CFR Part 400](#), *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*

[7 CFR Part 2](#), *Delegations of Authority by the Secretary of Agriculture and General Officers of the Department*

[20 United States Code \(U.S.C.\) § 1001](#), *General definition of institution of higher education*

[20 U.S.C. § 1091\(d\)](#), *Students Eligibility*

[22 U.S.C. 288-288f](#), *International Organizations Immunities Act*

[25 U.S.C. § 5304](#), *Indian Self Determination, Education and Assistance Act*

[31 U.S.C. § 6304](#), *Using grant agreements*

[31 U.S.C. § 6305](#), *Using cooperative agreements*

[43 U.S.C. Chapter 33](#), *Alaska Native Claims Settlement Act*

DHHS, [Financial Management](#), website

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[Federal Acquisition Regulations](#)

Federal Grant and Cooperative Agreement Act of 1977 ([FGCAA](#)), Public Law 95-224, February 3, 1978

Financial Accounting Foundation, [GAAP](#), *Generally Accepted Accounting Principles*

[Indian Tribal Entities Within the Contiguous 48 States Recognized by and Eligible To Receive Services From the United States Bureau of Indian Affairs](#). This is updated annually. The link takes the reader to the 2021 list. Future year updates can be found in the Federal Register.

[Standard Form \(SF\)-424A](#), *Budget Information – Non-Construction Programs*

USDA, [DG 0100-002](#), *USDA Departmental Directives Definitions Glossary*, September 26, 2018

USDA, Forest Service, [Audit and Assurance Staff](#), website

APPENDIX D

INDIRECT COST LIMITATION

The examples below illustrate the application of the indirect cost limitation of 10% of the TDC to cooperative agreements with IHEs and other nonprofit organizations as defined in 2 CFR Part 200.

Note: Before applying this limitation, ensure the current Agriculture Appropriation bill contains this indirect cost limitation.

Example 1:

The Pennsylvania Wildlife Society (an Internal Revenue Service classified nonprofit) has a Cooperative Agreement with TDC of \$100,000. The Society has an indirect cost rate of 30%. The direct cost application base specified in the recipient's NICRA is salaries, wages, and fringe benefits. The Society's *Budget Information – Non-Construction Programs* ([Standard Form SF-424A](#)) states that \$70,000 will be spent on salaries, wages, and fringe benefits. The remaining \$30,000 is for travel, contracts, and equipment.

The NICRA calculation and 10% of the TDC must be completed in order to determine the maximum allowed indirect costs for the project. If 10% of the TDC was applied, the indirect costs would be $10\% \times 100,000 = \$10,000$. If their 30% indirect cost rate was applied to the base of \$70,000 (salaries, wages, and fringe benefits), the indirect costs would be $30\% \times 70,000 = \$21,000$. In this scenario, the indirect cost limitation of 10% of the TDC would apply. They could only claim \$10,000 in indirect costs.

Example 2:

Spring City State University (SCSU) has a Cooperative Agreement with TDC of \$100,000. SCSU has an indirect cost rate agreement of 15%. The direct cost application base specified in the recipient's NICRA is salaries and wages. SCSU's SF-424A states that \$50,000 will be spent on salaries and wages. The remaining \$50,000 is for travel, supplies, and training.

The NICRA calculation and 10% of the TDC must be completed in order to determine the maximum allowed indirect costs for the project. If the 10% of the TDC was applied, the indirect costs would be $10\% \times \$100,000 = \$10,000$. If their 15% indirect cost rate was applied to the base of \$50,000 (salaries and wages), the indirect costs would be $15\% \times \$50,000 = \$7,500$. In this scenario, SPSU's rate would apply. They could only claim \$7,500 in indirect costs.